GLOUCESTER
ZAKAT FUND
CHARITY FOR LOCAL RESIDENTS

CASH HANDLING POLICY

Document Information	
Policy Name	Cash Handling Policy
Version	1.0
Policy Owner	Board of Trustees
Approved by	Board of Trustees
Date Approved	01/02/2026
Next Review Date	01/02/2028
Related Policies	Anti-Money Laundering Policy, Internal Financial Controls Policy, Volunteer Management Policy, Health and Safety Policy

1. Introduction and Purpose

1.1 Introduction

Gloucester Zakat Charity ("the Charity") handles cash donations through various channels, including mosque collections, community events, Ramadan fundraising activities, static collection tins, and direct donations. As stewards of Zakat (obligatory Islamic almsgiving) and Sadaqah (voluntary charity), we have a duty to handle all cash securely, transparently, and in accordance with best practice.

This policy provides guidance to trustees and volunteers involved in any aspect of cash handling to ensure the safety of those involved, protect donated funds, maintain accurate records, and safeguard the Charity's reputation.

1.2 Purpose

The purpose of this Cash Handling Policy is to:

- Protect all cash donations received by the Charity from loss, theft, or misappropriation
- Ensure the safety and security of trustees and volunteers handling cash
- Establish clear procedures for collecting, counting, recording, storing, and banking cash
- Maintain accurate financial records and a clear audit trail
- Comply with Charity Commission guidance on internal financial controls
- Support compliance with anti-money laundering requirements
- Enable accurate reporting and reconciliation of all cash received

1.3 Definition of Cash Handling

For the purposes of this policy, 'cash handling' includes all activities involving physical cash, including:

- Collecting cash donations (at events, mosques, via collection tins, or in person)
- Counting and recording cash received
- Storing cash securely before banking
- Transporting cash to the bank
- Banking cash and obtaining receipts
- Reconciling banked amounts to collection records

2. Scope

2.1 Who This Policy Applies To

This policy applies to:

- All trustees of the Charity
- All volunteers involved in fundraising or handling donations
- Any person collecting, counting, storing, transporting, or banking cash on behalf of the Charity
- Partner organisations handling cash on the Charity's behalf

2.2 Activities Covered

This policy covers cash handling in all contexts, including:

- Ramadan fundraising collections at mosques and community venues

- Community events and fundraising activities
- Static collection tins placed in shops, businesses, or community venues
- Street collections (where licensed)
- Direct cash donations received at the Charity's address or during meetings
- Any other situation where cash is received on behalf of the Charity

3. Key Principles

The following principles underpin all cash handling activities:

Two-Person Rule: Cash should always be collected, counted, transported, and banked by two people working together. This protects both the individuals and the Charity.

Prompt Banking: Cash over £5000 should be banked as soon as practicable, ideally on the same day as counting, or next working day if counted after banking hours.

Accurate Recording: All cash received must be recorded immediately with date, amount, source, and any donor details (where known).

Secure Storage: Cash must be stored securely at all times, preferably in a locked container or safe at a location previously agreed by Trustees.

Safety First: Personal safety takes priority over protecting cash. Never resist if challenged or threatened.

Clear Audit Trail: Documentation must allow cash to be traced from collection through to banking and reconciliation.

4. Roles and Responsibilities

4.1 Board of Trustees

The Board of Trustees is collectively responsible for:

- Approving and reviewing this policy
- Ensuring adequate procedures and controls are in place
- Designating trustees to oversee cash handling activities
- Reviewing cash handling records and addressing any concerns
- Ensuring appropriate insurance cover is in place

4.2 Designated Cash Handling Trustee

The Board will designate a trustee (typically the Treasurer or a trustee with financial responsibilities) to oversee cash handling. This trustee is responsible for:

- Ensuring this policy is followed in practice
- Maintaining the Cash Receipt Log and reconciliation records
- Reviewing cash collection returns for completeness and accuracy
- Investigating and reporting any discrepancies
- Briefing volunteers on cash handling procedures
- Ensuring collection equipment (tins, buckets, seals) is available and in good condition

4.3 Volunteers Handling Cash

All volunteers involved in cash handling must:

- Read and follow this policy

- Always work in pairs when handling cash
- Complete all required documentation accurately and promptly
- Store cash securely at a location previously agreed by Trustees.and bank promptly where necessary
- Report any concerns, discrepancies, or incidents immediately
- Prioritise personal safety at all times

5. Collection Procedures

5.1 Mosque and Event Collections

When collecting cash at mosques, community events, or Ramadan fundraising activities:

Before the Collection:

- Ensure you have appropriate collection equipment (buckets, tins, or bags)
- Use tamper-evident seals on collection containers where possible
- Have a Cash Collection Form ready to record details
- Ensure at least two volunteers are available for the collection
- If collecting in a public place, ensure any required licence or permission has been obtained

During the Collection:

- Clearly display the Charity's name and registration details
- Never leave collection containers unattended
- Be aware of your surroundings and personal safety
- Do not open sealed containers during the collection
- If containers become full or heavy, secure them and use replacement containers

After the Collection:

- Ensure all containers are accounted for
- Check that seals are intact before transporting
- Complete the Cash Collection Form with date, location, and collector names
- Transport cash securely (see Section 8)
- Count and record cash as soon as practicable (see Section 6)

5.2 Static Collection Tins

For collection tins placed in shops, businesses, or community venues:

- Maintain a register of all collection tin locations with contact details
- Use numbered, tamper-evident collection tins where possible
- Agree collection frequency with each venue (typically monthly)
- When collecting, check the seal is intact before removing the tin
- Issue a receipt to the venue if requested
- Replace with a fresh sealed tin
- Record the collection on the Static Tin Collection Log
- Do not open tins at the venue—return sealed for counting

5.3 Direct Cash Donations

When receiving cash donations directly (e.g., handed to a trustee or at a meeting):

- Issue a receipt to the donor immediately
- Record the donation in the Cash Receipt Log with donor details (if provided)
- Ask if the donor wishes to complete a Gift Aid declaration (if applicable)
- Store the cash securely at a location previously agreed by Trustees.
- Bank within two working days where necessary

5.4 Street Collections

Street collections require a licence from the local authority. If the Charity conducts street collections:

- Obtain the required licence from Gloucester City Council before the collection
- Ensure all collectors carry identification and the licence details
- Follow all conditions attached to the licence
- Use sealed collection containers
- Return all containers (including unused ones) for counting and reconciliation

6. Counting Procedures

6.1 General Requirements

All cash counting must follow these requirements:

- Cash must be counted by two people together—never by one person alone
- Counting should take place in a secure, private location
- Both counters must sign the Cash Count Sheet to confirm the amount
- Any person who collected the cash should not be one of the counters (where practicable for a small charity)
- Counting should take place as soon as possible after collection, ideally on the same day

6.2 Counting Process

Follow this process when counting cash:

1. Check that sealed containers are intact before opening. Note any damaged seals on the Cash Count Sheet.
2. Open the container and sort cash by denomination (notes and coins separately).
3. Count each denomination separately and record on the Cash Count Sheet.
4. Calculate the total and have the second person verify by recounting.
5. If counts differ, recount until both agree on the total.
6. Both counters sign and date the Cash Count Sheet.
7. Place cash in a bank paying-in bag or envelope, noting the amount on the outside.
8. Store securely until banking (see Section 7).

6.3 Cash Count Sheet

Each cash count must be recorded on a Cash Count Sheet (or equivalent record) including:

- Date and location of collection

- Date of count
- Names and signatures of both counters
- Breakdown by denomination (£50, £20, £10, £5, £2, £1, 50p, 20p, 10p, 5p, 2p, 1p)
- Total amount counted
- Container/tin reference number (if applicable)
- Any notes (e.g., damaged seals, foreign coins, suspicious items)
- Reference to related collection form

7. Secure Storage

7.1 General Requirements

Cash must be stored securely at all times between collection and banking:

- Keep cash locked away when not being counted or transported
- Use a safe, lockbox, or locked drawer/cabinet
- Minimise the time cash is held before banking
- Do not store large amounts of cash overnight if avoidable
- Do not publicise that cash is being held at any location

7.2 Overnight Storage

If it is unavoidable to store cash overnight (e.g., weekend collections, bank closures):

- Store in a safe or locked container, out of sight
- If storing at a trustee's or volunteer's home, use a home safe if available, or a locked drawer
- Do not leave cash in vehicles overnight
- Ensure collection containers remain sealed if not yet counted
- Be banked at the earliest opportunity or stored in a secure safe with Board notification

8. Transporting Cash

8.1 General Safety

When transporting cash to the bank or between locations:

- Always travel in pairs where possible
- Do not make it obvious you are carrying cash
- Carry cash in an inconspicuous bag (e.g., shopping bag) rather than cash bags or branded bags
- If travelling by car, keep cash out of sight
- Vary routes and times if making regular trips to the bank
- Go directly to the bank—do not make unnecessary stops
- Be aware of your surroundings

8.2 If Challenged or Threatened

Your personal safety is the highest priority. If you are challenged or threatened:

- Do not resist—hand over the cash without argument
- Try to remember details of the incident and any descriptions

- Report the incident to the police as soon as safe to do so (within 24 hours)
- Contact the Chair of Trustees immediately
- Do not discuss the incident on social media
- Complete an Incident Report Form

9. Banking Procedures

9.1 Banking Timeframes

Cash should be banked as follows:

- Cash over £5,000: on the same day as counting, or next working day if counted after banking hours

9.2 Banking Process

When banking cash:

- Complete a paying-in slip with the Charity's account details
- Ensure the amount on the paying-in slip matches the Cash Count Sheet
- Obtain and retain the bank receipt/paying-in slip counterfoil
- Record the banking in the Cash Receipt Log, noting the date banked and receipt reference
- Attach the bank receipt to the Cash Count Sheet for the audit trail

9.3 Cheques

If cheques are received alongside cash:

- Record cheques separately on the Cash Count Sheet (payee name and amount)
- Ensure cheques are made payable to 'Gloucester Zakat Charity'
- Bank cheques promptly (under £500: within two working days, £500–£5,000: within one working day, over £5,000: on the same day or next working day if received after banking hours)
- Note that cheques may take several days to clear

10. Recording and Reconciliation

10.1 Cash Receipt Log

The Charity will maintain a Cash Receipt Log recording all cash received. For each receipt, record:

- Date received
- Source/event (e.g., 'Ramadan Collection – Masjid-e-Noor', 'Static Tin – Corner Shop')
- Amount counted
- Counted by (names of both counters)
- Date banked
- Bank receipt reference
- Any Gift Aid declarations obtained
- Notes (any issues or observations)

10.2 Reconciliation

Regular reconciliation ensures cash received matches bank deposits:

- Monthly: The Designated Cash Handling Trustee reconciles the Cash Receipt Log to bank statements
- Investigate any discrepancies promptly
- Report unresolved discrepancies to the Board
- Maintain reconciliation records as part of the Charity's financial records

10.3 Fund Designation

Donors may specify their cash donation for a particular fund. Ensure accurate recording of:

- Zakat Fund donations (restricted to Zakat-eligible purposes)
- Sadaqah Fund donations (general charitable purposes)
- Any specific appeals or designated purposes

If the donor does not specify, donations default to the Sadaqah (General) Fund.

11. Gift Aid on Cash Donations

Gift Aid allows the Charity to reclaim 25p for every £1 donated by UK taxpayers. For cash donations:

- Offer donors a Gift Aid declaration form
- Explain that they must be a UK taxpayer for Gift Aid to apply
- Record the donor's name, address, and donation amount
- Keep Gift Aid declarations securely with donation records
- Do not claim Gift Aid on anonymous donations where the donor cannot be identified

Note: The Charity is in the process of registering for Gift Aid with HMRC. Gift Aid declarations should still be collected in anticipation of registration.

12. Children and Vulnerable Persons

Special care must be taken regarding children and vulnerable persons:

- Children under 16 must not have sole responsibility for handling money
- Children under 16 must not count cash
- Children may assist with collections under adult supervision but should not hold collection containers with significant amounts
- Vulnerable adults should only handle cash with appropriate support and supervision
- Follow the Charity's Safeguarding Policy at all times

13. Foreign Currency and Other Items

Occasionally, collection tins may contain foreign currency, tokens, or other items:

- Record any foreign currency separately on the Cash Count Sheet
- Do not include foreign currency in the sterling total
- Foreign coins of low value may be disposed of or donated to charity coin collection points
- Notes or coins of significant value should be exchanged (if practicable) or held pending Board decision
- Record any unusual items found (e.g., jewellery, tokens) and refer to the Board

14. Discrepancies and Incidents

14.1 Discrepancies

If there is a discrepancy between expected and actual amounts (e.g., collection record vs. count):

- Recount the cash with both counters present
- Check counting records for errors
- Note the discrepancy on the Cash Count Sheet
- Report discrepancies over £20 (or any suspicious discrepancy) to the Chair of Trustees
- The Board will investigate significant or recurring discrepancies

14.2 Theft, Loss, or Suspicious Activity

In the event of theft, loss, or suspected fraud:

- Report immediately to the Chair of Trustees
- Report theft to the police within 24 hours
- Do not attempt to investigate independently
- Preserve any evidence
- Complete an Incident Report
- The Board will determine whether to report to the Charity Commission as a serious incident
- If money laundering is suspected, follow the Anti-Money Laundering Policy

15. Health and Safety

Cash handling presents some health and safety considerations:

- Collection buckets and tins can become heavy—share the load between volunteers
- Wash hands after handling coins (coins carry bacteria)
- Take care when opening sealed containers (sharp edges)
- Do not carry cash in a way that causes strain or injury
- If standing for extended periods during collections, take regular breaks
- Stay hydrated, particularly during Ramadan collections while fasting

16. Regulatory Requirements and Permissions

16.1 Collection Licences

Fundraising in public places may require a licence:

- Street collections: Require a licence from Gloucester City Council
- House-to-house collections: Require a licence from the local authority
- Private property (e.g., shopping centres, mosques): Require permission from the property owner
- Apply for licences well in advance (typically several weeks)
- Keep copies of all licences and permissions

16.2 Charity Identification

When collecting in public:

- Clearly display the Charity's name and registered number

- Collectors should carry identification linking them to the Charity
- Make collection materials (buckets, tins) clearly identifiable as belonging to the Charity

17. Record Keeping and Retention

The following records must be maintained:

Record	Retention Period
Cash Collection Forms	6 years
Cash Count Sheets	6 years
Cash Receipt Log	6 years
Bank paying-in slips/receipts	6 years
Static Tin Collection Log	6 years
Gift Aid declarations	6 years after last donation
Collection licences/permissions	6 years after expiry
Incident reports	6 years (or as required by insurers)

18. Review

This policy will be reviewed by the Board of Trustees every two years, or sooner if:

- There are significant changes to relevant legislation or regulatory guidance
- A significant incident occurs that highlights gaps in the policy
- There are changes to the Charity's fundraising activities or methods
- Issues are identified through audit or reconciliation processes

19. Related Policies and Documents

Related Policies:

- Anti-Money Laundering Policy
- Internal Financial Controls Policy

- Volunteer Management Policy
- Safeguarding Policy
- Health and Safety Policy
- Whistleblowing Policy

Supporting Documents:

- Cash Collection Form (template)
- Cash Count Sheet (template)
- Cash Receipt Log (template)
- Static Tin Collection Log (template)
- Incident Report Form (template)

Regulatory Guidance:

- Fundraising Regulator – Cash Collections
- Charity Commission – Charities: holding, moving and receiving funds safely (CC29)
- Charity Commission – Internal financial controls for charities (CC8)

20. Approval and Version History

Version	Date	Approved By	Changes
1.0	01/02/2026	Board of Trustees	Initial policy

21. Trustee Declaration

We, the undersigned trustees of Gloucester Zakat Charity, confirm that we have read, understood, and approved this Cash Handling Policy and commit to its implementation.

Name	Role	Signature	Date
Mr Abdullah Abdul Samad Patel	Chair	A. Patel	01/02/2026
Mr Kamel Boulkenafet	Trustee	K. Boulkenafet	01/02/2026
Mr Hashim Moolla	Trustee	H. Moolla	01/02/2026
Mr Farouq Ginwalla	Trustee	F. Ginwalla	01/02/2026
Ms Mariam Qureshi	Trustee	M. Qureshi	01/02/2026

— End of Policy —